

ITC Ltd

ITC · Consumer Staples

ROE

27.9%

ROCE

32.6%

Net Profit Margin

29.3%

Debt-to-Equity

0.00

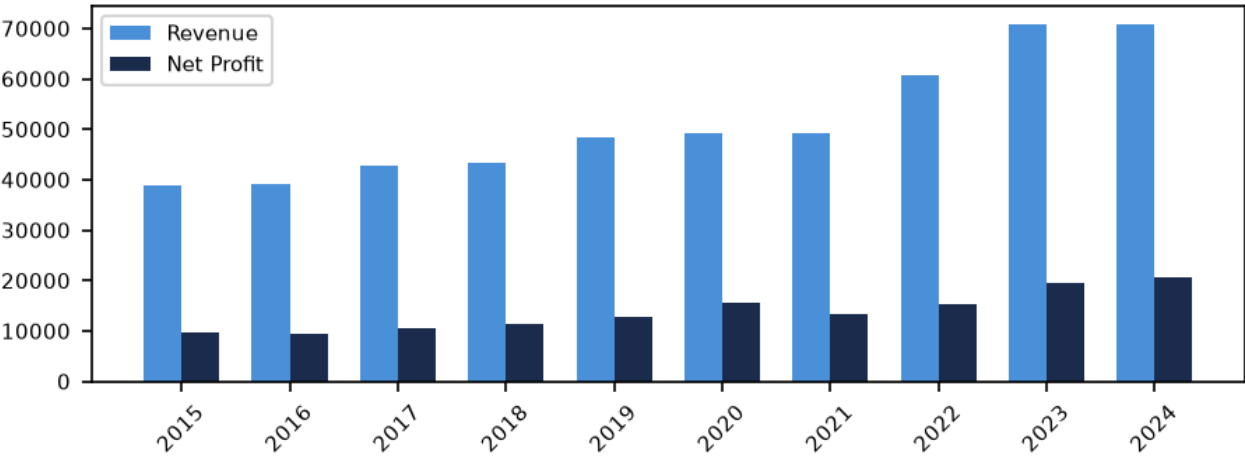
Revenue CAGR (5yr)

8.0%

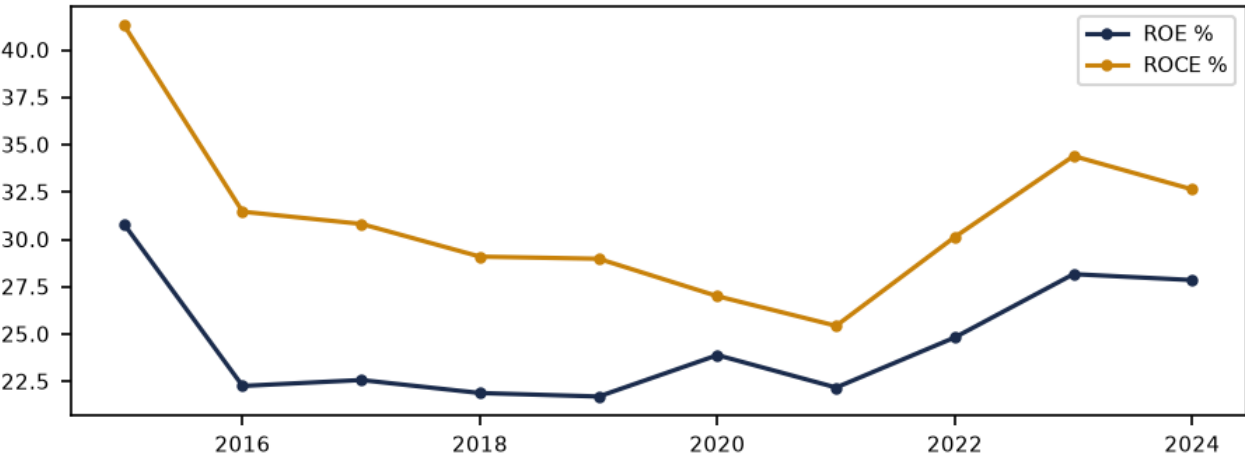
Free Cash Flow

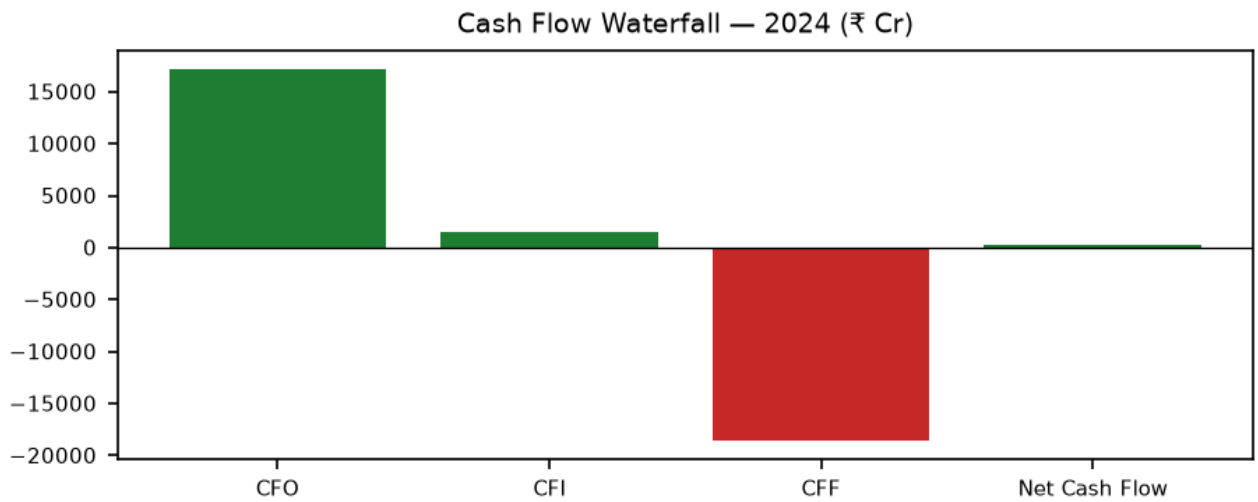
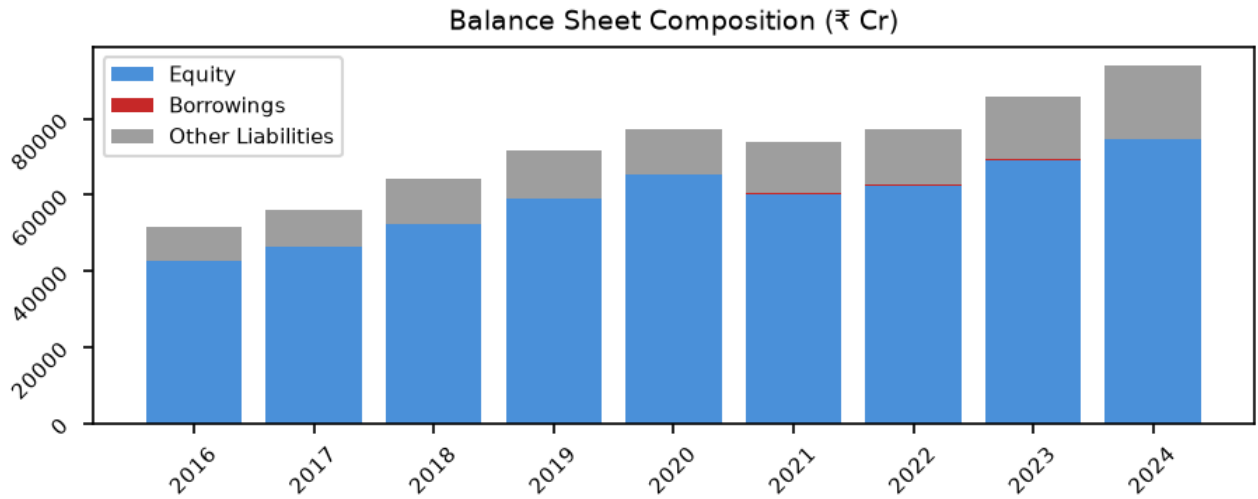
■18,742 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency

Cons

- ✗ Debt-to-equity ratio of 0.00 is a factor worth monitoring given the company's capital structure

Capital Allocation: Shareholder Returns